

Informational Overview: The Turkish Social Security System (SGK)

Purpose: This document provides a general overview of the mandatory Turkish Social Security system to assist Interested Offerors in understanding their obligations when employing Turkish National (TN) personnel under the Base Operations Support (BOS) contract for DoD installations in Turkey.

Disclaimer: **This overview is for informational purposes only and does not constitute legal advice. Offerors are required to conduct their own due diligence and are strongly advised to consult with local legal and accounting experts in Turkey to ensure full compliance with all applicable laws and regulations.**

1. Executive Summary: What Offerors Need to Know

The Turkish Social Security system is administered by the Social Security Institution (SGK) . It is a mandatory, contribution-based system that covers nearly all employees in Turkey.

- **Mandatory Participation:** All employers must register their company and every Turkish National employee with the SGK. There are no exceptions for the TN workforce on this contract.
- **Contribution-Based:** The system is funded by monthly premiums paid by both the employee and the employer. The employer is responsible for calculating, withholding the employee's share from their salary, and remitting the total amount (employer + employee shares) to the SGK.
- **Significant Cost:** Social security contributions represent a significant percentage of an employee's gross salary. This must be factored into any cost proposal for labor.
- **Comprehensive Coverage:** Contributions cover a wide range of benefits for employees, including retirement pensions, healthcare, disability, maternity, and unemployment.

2. Key Components of the Turkish Social Security System (SGK)

A. Contribution Rates (The Financial Obligation)

Contributions are calculated as a percentage of the employee's gross salary, which is known as the "Premium Earning Base" (SPEK). There is a legal minimum (based on the national minimum wage) and a maximum ceiling for this base, which are updated annually.

The approximate total contribution rates are as follows:

CONTRIBUTION TYPE	EMPLOYEE SHARE (%)	EMPLOYER SHARE (%)	TOTAL (%)
Pension, Disability, & Death Insurance	9%	11%	20%
General Health Insurance	5%	7.5%	12.5%
Short-Term Risks (Work Accidents, etc.)	0%	2% (approx.) ¹	2%
Unemployment Insurance	1%	2%	3%
Total Approximate Cost	15%	22.5%	37.5%

¹ The short-term risk premium can vary from 1% to 6.5% depending on the "hazard class" of the work being performed.

Key Takeaway for Offerors: You must budget for an employer-side contribution of approximately 22.5% of each employee's gross salary, in addition to the 15% you must withhold from the employee's pay.

B. Core Benefits Provided to Employees

The premiums paid by the employer and employee fund the following critical social security benefits:

- **Old-Age Pension (Retirement):** Provides a monthly pension to employees. Eligibility is determined by the number of premium payment days and years of service. Age requirements may also apply, depending on the employee's initial date of insurance registration. Re-hiring a retired employee requires paying a different, higher "Social Security Support Premium" (SGDP).
- **General Health Insurance (GSS):** Provides employees and their eligible dependents with access to healthcare services at public and contracted private hospitals.
- **Disability Pension:** Provides a pension for employees who lose their ability to work.
- **Work Accident & Occupational Disease Insurance:** Covers medical treatment and provides temporary or permanent incapacity benefits if an employee is injured on the job.
- **Maternity Insurance:** Provides temporary incapacity benefits before and after childbirth.
- **Unemployment Insurance:** Provides a temporary income for employees who lose their jobs, subject to certain conditions.

Official Resources: Offerors should verify all information using official sources.

- **Social Security Institution (SGK):** <http://www.sgk.gov.tr>
- **Official Gazette (for all laws):** <https://www.resmigazete.gov.tr>